of focused nurturing of indigenous industry and massive investments in research and development and exports to fund more R&D. The most recent such success story has been that of New Delhi's current bête noire—Beijing. From being the world's largest importer of military equipment in the early 2000s, China became the third largest arms exporter by 2015. Chinese arms are qualitatively inferior to the US and Russian systems, but offer cheap military hardware solutions for poorer nations in Asia and Africa.

Defence exports have been a recent pillar of the Modi government's drive to attain self-sufficiency in defence production. Heartteningly, these have begun to yield results. The MoD informed Parliament in December that India had exported defence equipment worth Rs 8,434 crore in 2020-21, compared to Rs 1,940 crore in 2014-15. A recent breakthrough was an export order of three batteries of the ground-launched Indo-Russian Brahmos cruise missiles to the Philippines for $374.96 million (Rs 2,796 crore).

Lt Gen. D.B. Shekatkar (retd), author of a landmark 2016 MoD study on defence reforms, says defence exports indirectly offset the defence budget because they increase foreign exchange earnings. But they need to be bought by the armed forces first. "The first thing a foreign buyer wants to know is whether the item is in service in our armed forces," he says.

The reasons behind why past attempts to indigenise defence hardware have been Sisyphean are evident. Government slogans were not backed by a road map or annual targets. Licensed production of military hardware was being passed off as 'Make in India' with no benefits of design or the ability to upgrade the hardware. The number of Indigenously Designed, Developed and Manufactured (IDDM) defence systems, where Indian firms hold intellectual property, are in single digits.

Most importantly, a monopsony like the MoD has not been placing significant orders for indigenous defence platforms to allow the creation of defence ecosystems. "You cannot profess self-reliance and continue to import defence hardware," says a top government official. "Your indigenous industry will never come up as long as you are at the mercy of these three or four big defence exporters. Why will they let your industry develop?"

The global arms trade is without ethics but such sales can pose ethical dilemmas for its recipients. On January 23, Sweden's Saab announced it was selling disposable rocket launchers to the Indian armed forces. Saab has, in the past, sold surface-to-air missiles to the Pakistan army and advanced reconnaissance aircraft to its air force. Russia has sold its S-400 long-range missiles to both India and China. India's current border standoff has expanded the area of conflict with its northern neighbour. It has exposed voids in the army's defence preparedness, like the abysmal state of its air defence corps which are meant to protect heavy units like tanks and infantry combat vehicles from aerial attack, and the lack of long-range artillery to target Chinese units. This is why General Vinod Khandare, former military adviser to the National Security Advisor (NSA), warns. "Indigenisation is important, but a balance must be struck. You cannot create hollowness or a void in defence capabilities," he says.

A 2019 MoD projection sees the Indian armed forces buying hardware worth over $130 billion (Rs 9.7 lakh crore) over this decade. The MoD directives point to a desire to ensure that much of this is bought from or produced in-country.

The Indian defence industry is largely self-sufficient in land and naval platforms. Except engines and electronic warfare subsystems, most equipment fitted inside tanks, armoured vehicles and warships is made within India. The DRDO says it is self-reliant in missiles and radars. Hindustan Aeronautics Ltd's prowess with developing variants of the Dhruv Advanced Light Helicopter, like the Light Utility Helicopter and Light Combat Helicopter, has ensured self-sufficiency in light helicopters. Designing and developing fighter jets is the only area of import dependence. The navy and air force say they will need to buy foreign fighter jets to bridge the gap between the arrival of ADA-HAL aircraft, like the Light Combat Aircraft Tejas, and new aircraft types like the LCA Mark 2 and the fifth generation Advanced Medium Combat Aircraft (AMCA).

The new initiative involves multiple ministries and departments. It is being overseen by the Prime Minister's Office, involves defence minister Singh, defence secretary Ajay Singh and NSA Ajit Doval and his National Security Council Secretariat (NSCS) to facilitate inter-ministerial coordination.

In December, the MoD approved one of the largest indigenous defence orders—200 K9 Vajra 155/ 52 mm self-propelled artillery guns from Larsen & Toubro worth over Rs 10,000 crore. These guns are designed by South Korea's

THE HIT LIST

Off-the-shelf purchases (excluding foreign military sales), with zero Make in India component or transfer of technology are either under review or have been axed

↘ KA-226T

200 helicopters; **$1 billion** (Rs 7,475.4 crore)

↘ TWIN-ENGINED HELICOPTERS FOR COAST GUARD

14 helicopters; **$1 billion**

